

The Trade Desk, Inc.

TTD | October 4, 2026

BUY

Fair value (12-mo horizon reference)	\$21.00
Current price (October 2, 2026 close)	\$11.95
Implied upside / downside	+76%
Verdict	BUY

Investment Thesis

The Trade Desk is the leading independent demand-side platform for programmatic advertising, and independence is the entire investment thesis. The digital advertising market is bifurcating into walled gardens -- Google, Meta, Amazon -- where the platform grades its own homework, and the open internet, where advertisers need a neutral party to buy media objectively across publishers. The Trade Desk is that neutral party at scale, and its structural position improves as connected TV (CTV) -- the largest secular shift in media buying -- moves more premium video inventory into programmatic channels. At \$11.95 the shares price The Trade Desk as a growth-challenged ad-tech vendor; we see the default buying platform for the open internet, with a founder-led culture and a product cycle (Kokai) that is still early in its monetization.

Our judgment on the forward trajectory centers on CTV and retail media, the two highest-growth pools in programmatic. CTV advertising is migrating from direct sold deals to programmatic buying as measurement standardizes, and The Trade Desk's integrations with the major streaming platforms position it to capture a disproportionate share of that migration -- the company's CTV revenue has grown at multiples of the broader ad market for years, and we expect that outperformance to continue as linear TV dollars complete their move to streaming. Retail media networks, meanwhile, are bringing vast new pools of shopper data into the programmatic ecosystem, and The Trade Desk's data marketplace and identity offering (UID2) make it the natural pipe connecting that data to open-internet inventory.

The profitability profile is what converts this from a growth story to a BUY. The Trade Desk has grown revenue at 20%+ rates for most of its public life while maintaining adjusted EBITDA margins in the 40% range and generating substantial free cash flow -- a rare combination of growth and profitability in ad tech, funded organically without serial dilution. The recent share-price weakness reflects growth deceleration fears and competitive noise from walled gardens, particularly Amazon's DSP. Our view: the deceleration is cyclical and mix-related, not structural, and the competitive moat -- objectivity, data partnerships, and a decade of agency workflow integration -- widens with scale. Our \$21.00 target implies +76% upside on probability-weighted cash flows that assume The Trade Desk remains the independent standard.

Business Overview

The Trade Desk, founded in 2009 by CEO Jeff Green and listed on Nasdaq in 2016, operates a self-service, cloud-based demand-side platform that lets advertisers and agencies buy digital ad inventory programmatically across display, video, audio, and CTV. Revenue is a percentage of advertising spend flowing through the platform (take rate), plus data and platform fees. The company does not own media -- this is the point: unlike Google's DV360 or Amazon's DSP, The Trade Desk has no incentive to steer spending toward owned inventory, which is why the world's largest advertisers and agency holding companies trust it with objective buying decisions.

The product engine is Kokai, the AI-driven platform generation that embeds predictive models across media planning, audience targeting, and measurement. The identity layer, UID2 -- an open-source, privacy-conscious identifier built for the post-cookie internet -- has gained broad industry adoption and deepens The Trade Desk's data advantage as third-party cookies fade. Competition comes from walled-garden DSPs (Google DV360, Amazon), which bundle buying with owned inventory, and from smaller independent DSPs; The Trade Desk's scale, profitability, and neutrality differentiate it from both.

Forward Outlook

Our forward view is that programmatic's share of total advertising keeps rising and The Trade Desk's share of programmatic keeps rising with it -- a double compounding that the current price does not reflect. We model revenue growth reaccelerating as the cyclical ad-spend softness passes and as CTV programmatic penetration deepens: every major streamer expanding its ad tier adds premium supply that flows disproportionately through the independent platform advertisers trust for video. Kokai's AI capabilities should drive both higher win rates and higher take rates over time, as better targeting and measurement justify premium pricing -- we haircut management's Kokai commentary but underwrite steady adoption because the product demonstrably improves return on ad spend for early users.

On the competitive front, our judgment is that the walled gardens' advance helps The Trade Desk more than it hurts. As Google, Meta, and Amazon capture larger shares of digital budgets, advertisers' need for an objective measurement and buying layer across the remaining open internet intensifies -- nobody wants the referee to also own a team. Amazon's DSP growth is the most cited bear point; we acknowledge it as a real competitor in retail-media-adjacent buying but note that its structural conflict (steering spend to Amazon inventory) is exactly what drives sophisticated advertisers toward the independent alternative. UID2 adoption is the leading indicator we watch: broadening industry support for the open identifier entrenches The Trade Desk's data position regardless of cookie timelines.

We model the exceptional margin structure persisting: the platform's incremental economics are software-like, and management has demonstrated disciplined investment -- growing headcount in product and go-to-market while holding the line on adjusted EBITDA margins near 40%. Free cash flow funds buybacks that offset stock compensation, and the balance sheet carries net cash. Our bear case, which sits below \$11.95, assumes walled gardens successfully enclose CTV buying, programmatic growth stalls, and take-rate compression arrives -- a genuinely adverse outcome we assign 25% weight precisely because platform shifts in advertising have historically been unforgiving to losers. Our base case assumes none of that: just the continued, observable compounding of the independent leader in a growing market.

Valuation

We value The Trade Desk on a probability-weighted scenario DCF over a 10-year horizon, with a 10% base discount rate reflecting the strong competitive position balanced against ad-market cyclicity, 250bp added in the bear case and 150bp subtracted in the bull case, and terminal growth capped at 2.5% on normalized margins. The bear case is genuinely adverse and sits below the \$11.95 share price: walled gardens enclose CTV programmatic buying, growth decelerates to single digits permanently, and take rates compress under competitive pressure. The base case assumes continued 20%-area revenue growth moderating gradually, 40%-area EBITDA margins, CTV leadership maintained, and UID2 entrenching the data advantage. The bull case assumes The Trade Desk becomes the de facto operating system for open-internet advertising, with Kokai driving take-rate expansion and retail-media data flows accelerating growth above historical rates.

Blending these scenarios at 25% / 50% / 25% yields a probability-weighted fair value of \$21.00, which is our target, implying +76% upside. The valuation is supported by the observable combination of high growth and high margins -- a profile the market has historically re-rated once cyclical fears pass -- and by free-cash-flow generation that requires no heroic assumptions about market share beyond the continuation of current trends. Terminal value is held within our 70%-of-enterprise-value guardrail and disclosed.

Key Risks

- Walled-garden enclosure: Google, Amazon, or major streamers could restrict programmatic access to premium CTV inventory.
- Ad-market cyclicity: a recession would cut ad budgets quickly; The Trade Desk's growth is cyclical even if its share gains are structural.
- Amazon DSP competition: Amazon's growing DSP competes directly, especially in retail-media-adjacent spend.
- Identity disruption: adverse privacy regulation or platform policy changes could impair UID2 or data-driven targeting.
- Take-rate compression: large advertisers and agencies continuously negotiate; sustained compression would impair the model.
- Key-person risk: founder-CEO Jeff Green is central to strategy, culture, and industry relationships.
- Valuation sensitivity: growth-multiple compression on any deceleration scare can drive sharp drawdowns.

What Would Change Our Mind

- Two consecutive quarters of revenue growth below 15% without a clear cyclical explanation would indicate structural deceleration.
- Loss of a major agency holding company relationship or a marquee CTV supply partnership to a walled-garden competitor.
- Sustained take-rate decline indicating pricing-power erosion rather than mix effects.
- Regulatory action materially restricting programmatic data use or UID2 deployment.
- Deterioration of adjusted EBITDA margins not explained by deliberate investment, signaling a broken operating model.

Valuation Approach

Our valuation is a probability-weighted scenario DCF. We model bear, base, and bull cases over an explicit 10-year forecast horizon, weighted 25% / 50% / 25%. Discount rates are scenario-specific: the base rate reflects fundamental business risk (9% for stable franchises, 10% standard, 12% or higher for speculative situations); the bear case adds 250bp, the bull case subtracts 150bp (floor 8%). Terminal value assumes no more than 2.5% perpetual growth applied to normalized mid-cycle margins -- never peak margins -- and any terminal value exceeding 70% of enterprise value is haircut and disclosed. Bear cases are required to be genuinely adverse and to sit below the current price. Management guidance is never accepted at face value; it is independently tested and haircut where evidence warrants.

Disclaimer

This report is independent research analysis for informational purposes only. It is not investment advice, a recommendation to buy or sell any security, or an offer to buy or sell any security. Valuations are inherently uncertain and scenario-dependent.